In general, expenditures that create permanent assets and yield periodical income and loans given to state governments and local bodies are called capital expenditure. It is a two way payment. It means money spent can be recovered through periodical income and/or by disposal of the asset created.

In addition, as per Article 34 of the Audit Code, the following considerations are relevant in arriving at a decision whether or not expenditure is of capital nature.[4]

Article 34 (a): It is not essential that the concrete assets should be productive in character or that they should even be revenue producing. A productive asset may be considered as one which produces sufficient revenue to afford a surplus over all charges relevant to its functioning. It may on rare occasions be necessary and justifiable to treat as a capital scheme not commercially remunerative but involving large expenditure, say for construction of a new city.

(b) The purpose of commutation of recurring liabilities is their extinction or reduction. Although expenditure on this purpose may be genuinely capital expenditure, it is always necessary to examine from the point of view of economic financial administration whether such capital expenditure does not in fact merely replace one set of recurring payment by another, for example, where commutation by debit to capital of pension payment does not result in the substitution of equivalent payments of interest.

(c) It is inherent in the definition of capital expenditure that the assets produced should belong to the authority incurring the expenditure. Expenditure by the Government on grants-in-aid to local bodies or institutions for the purpose of constructing assets which will belong to these local bodies cannot legitimately be considered as capital expenditure.

(d) Expenditure on a temporary asset cannot ordinarily be considered as expenditure of a capital nature.